

TENET HEALTH CORPORATION

(NYSE: THC)

30% UPSIDE

PRICE TARGET: $268
LAST CLOSE: $207

BUY

Presenter: Ray Muire

Tenet Healthcare: Why Buy?

We issue a BUY recommendation, with a 12-month price target of $268, implying a 30% upside



Management's portfolio optimization strategy improves profitability



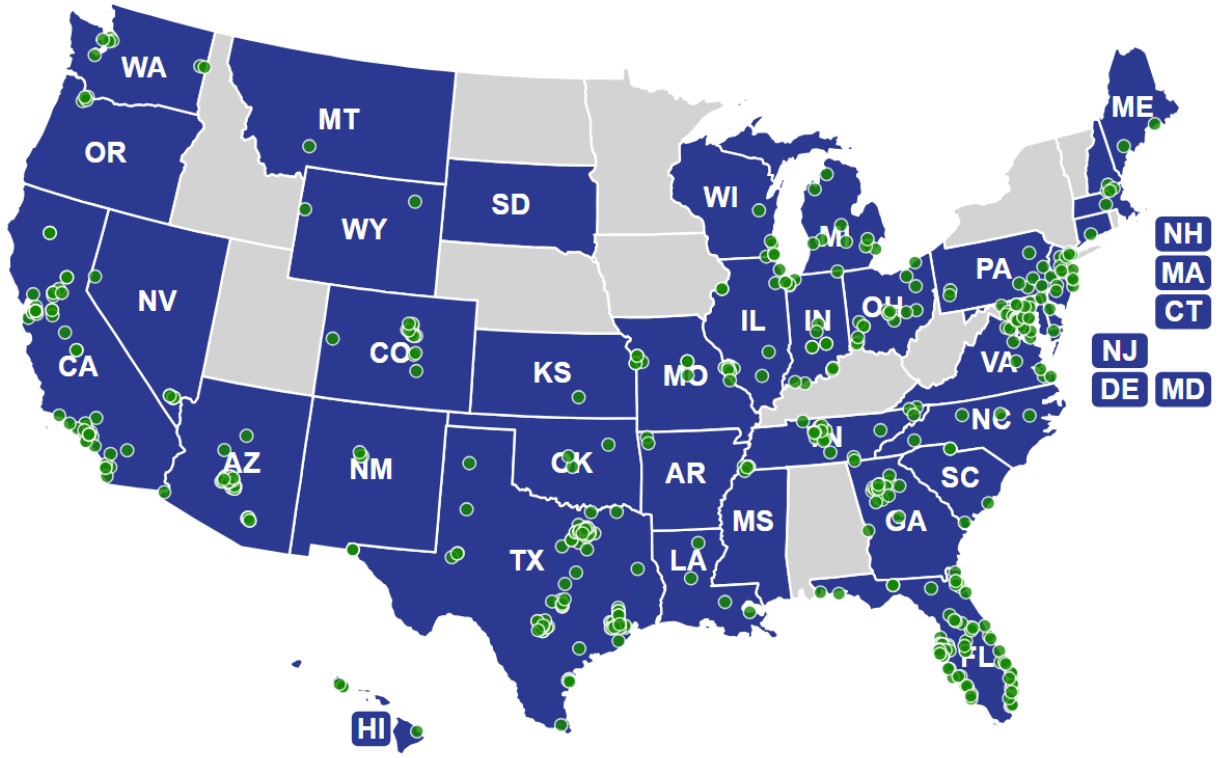
Tenet's capability to optimize their capital structure is overlooked



Well positioned to widen their moat with rapid expansion in ASCs

Company Overview

Tenet is the largest Ambulatory Surgery Center company in the US with 545 facilities



ASC: provides same day surgeries, offering convenience and lower costs

The hospital segment served as the backbone of the company through their higher Revenue contributions

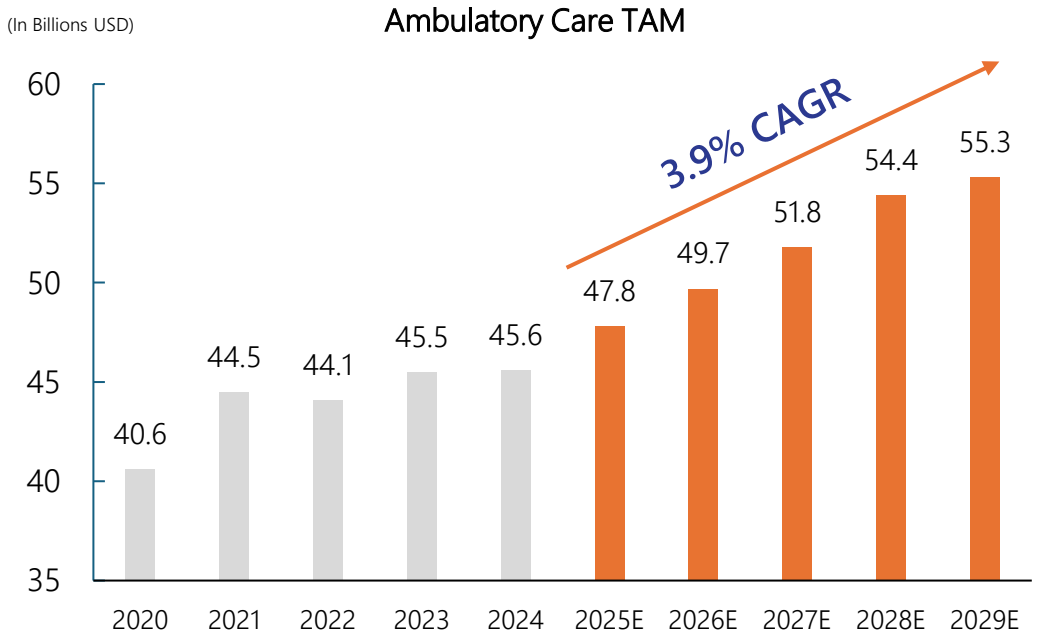
Six Months Ended June 30, 2025

	Hospital Operations	Ambulatory Care (USPI)
Revenue	$8B	$2.5B
EBIT	$1.5B	$1.7B
EBIT Margin	11%	33%

Hospital Operations: include acute and specialty hospitals

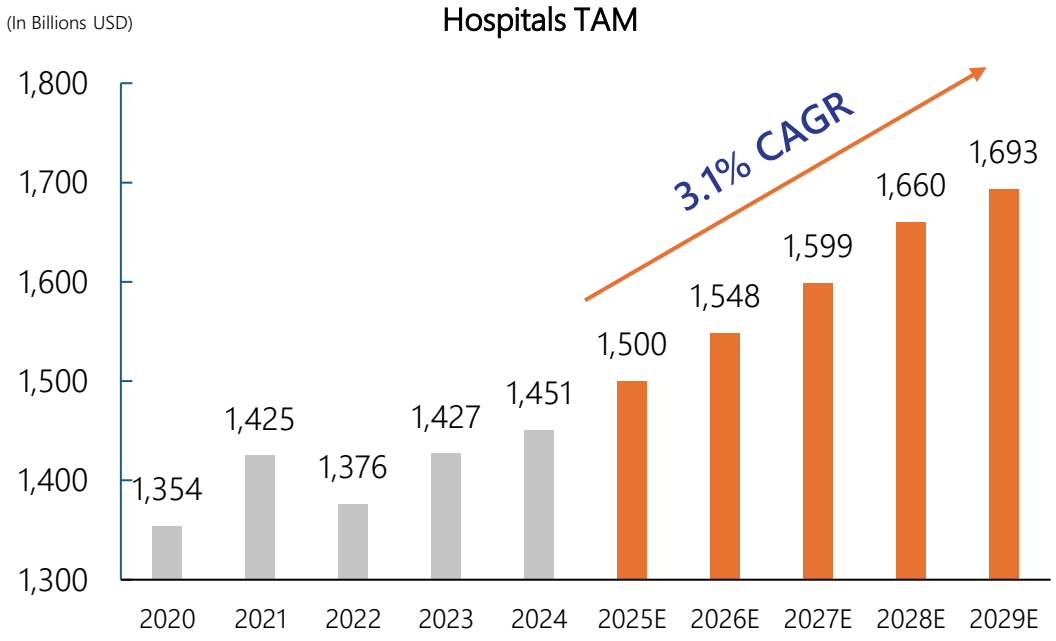
Tenet's shift towards an attractive industry

Demand due to aging population, push to lower-cost outpatient, advances in surgical tech



More attractive because of its high EBIT margins (33% for ASC vs 11% for Hospitals)

Slower growth due to shift to outpatient business and higher fixed costs

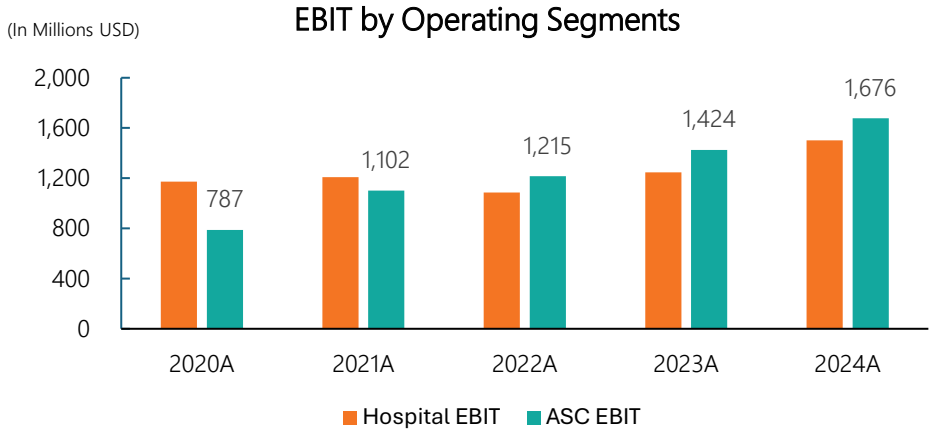


Faces headwinds because of Medicaid/Medicare cuts

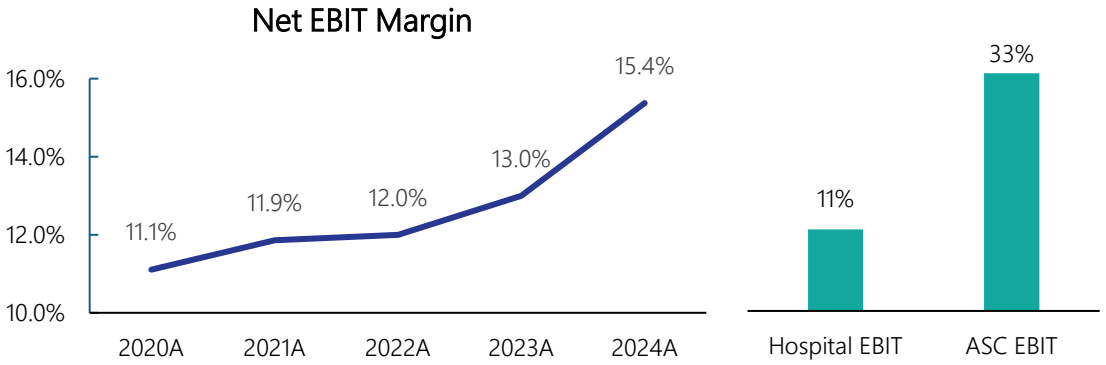
Payers are incentivizing a shift to ASCs because they cost less per procedure than hospitals

Shift to the ASC segment leads to higher FCF generation

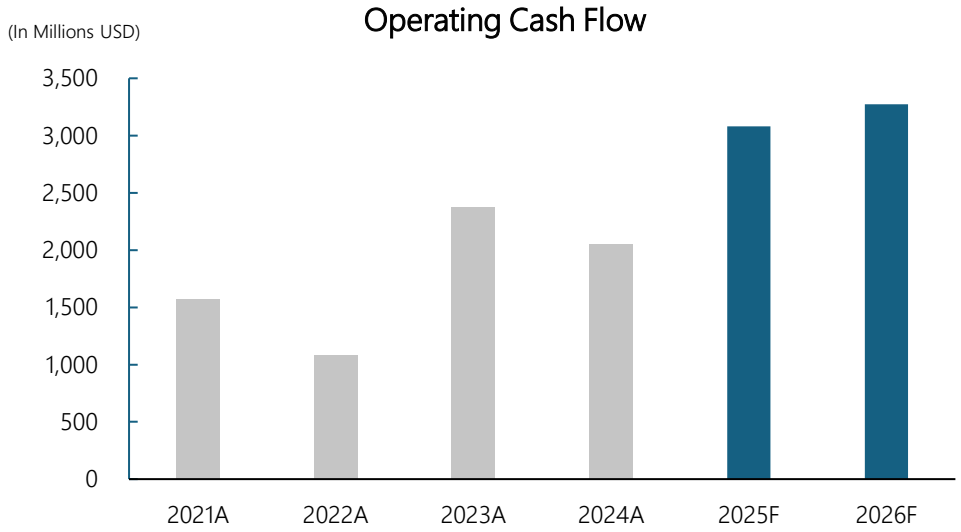
ASC EBIT has increased due to their focus on expanding ASCs



Net EBIT margin increased due shift in higher margin segment



Higher EBIT margin leads to higher Operating Cash Flows

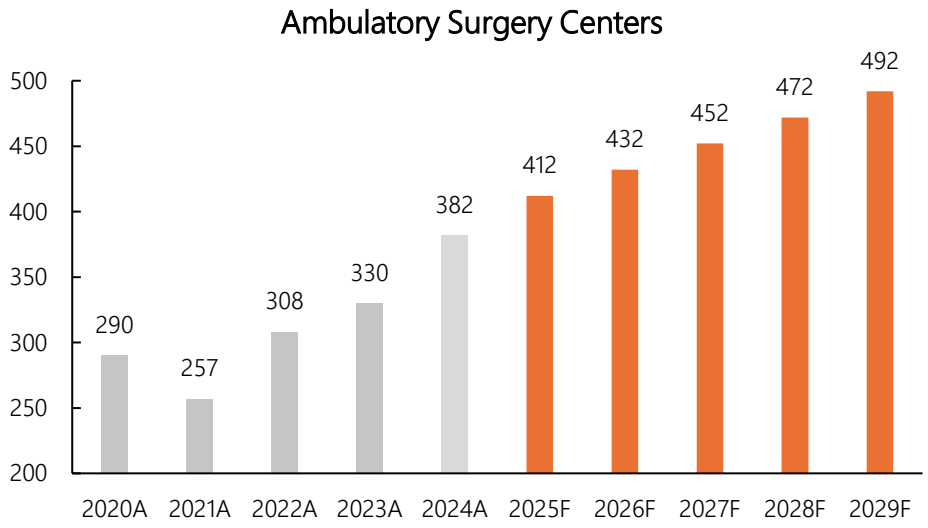


Enables them to increase Capex spending on expansion

Provides stable FCF generation after taking count of Capex

Strategic use of FCF into expansion and improving company quality

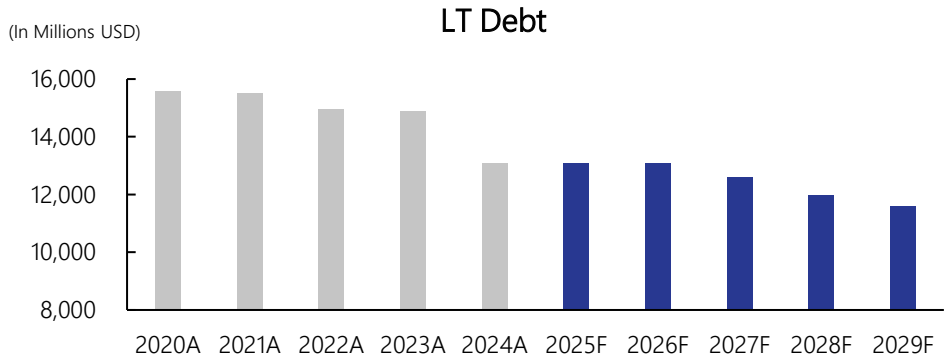
Higher FCF makes them capable for aggressive expansion



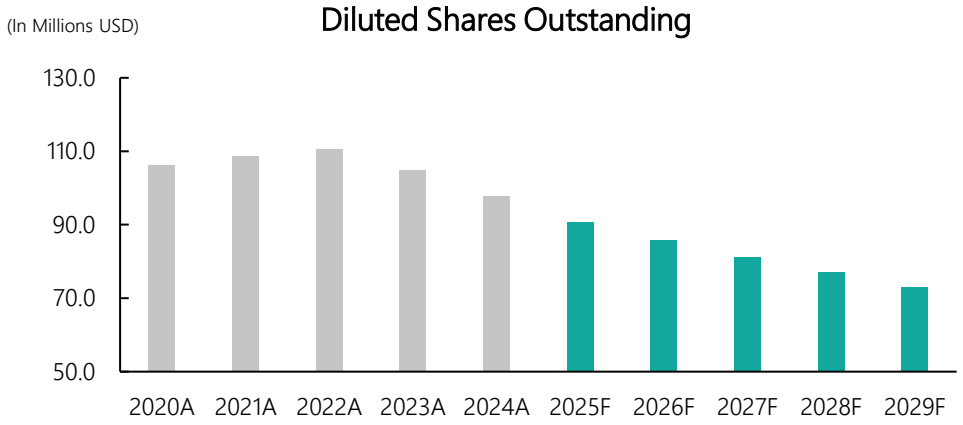
Management plans to spend $250M each year on acquisitions

Average price of $11M per ASC allows for aggressive expansion

Management plans to deleverage to improve capital structure

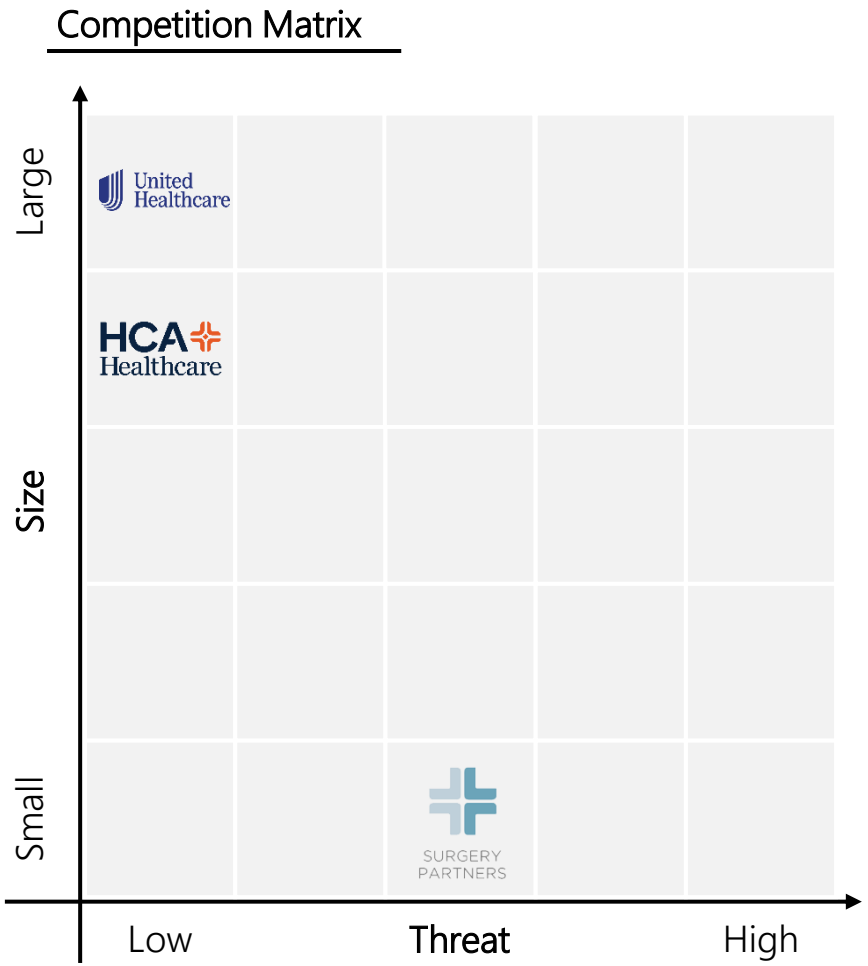


Management is buying back shares to invest in their business



Low competition allows room for expansion

Surgery Partners is the main competitor



United Healthcare

- Exited from unprofitable markets due to Medicaid cuts, losing 600,000 patients
- Shifting their focus on profitable markets, slowing expansion

HCA Healthcare

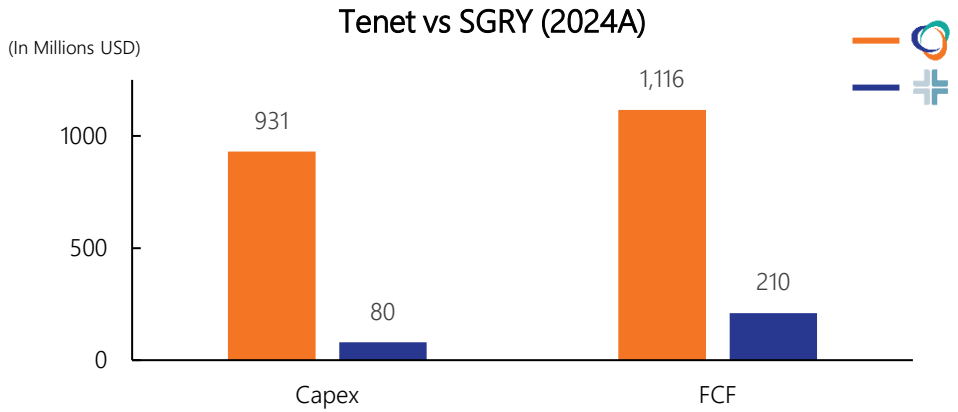
- Focusing on optimizing operations on hospital segment

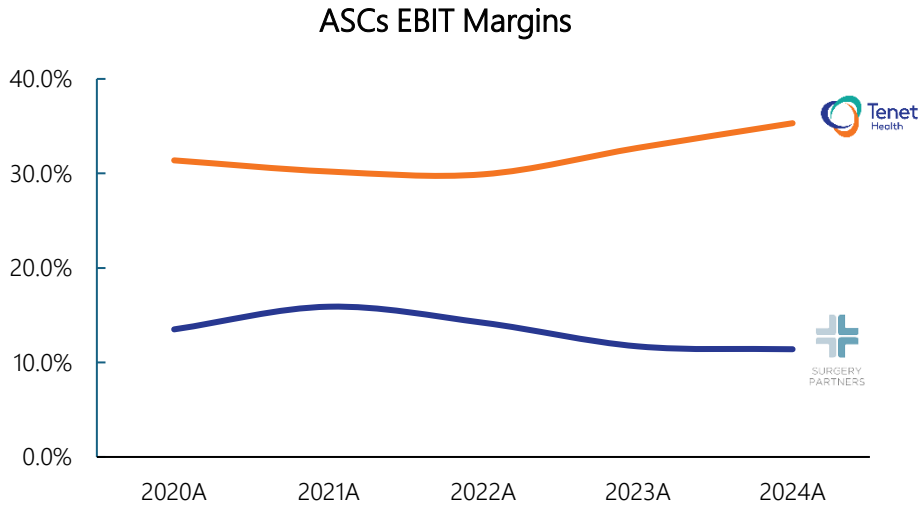
SURGERY PARTNERS

- Strategic investment in ASC segment through surgical robots
- Increasing margins through performing higher-acuity procedures
- Expansion of facilities through de novo projects and acquisitions

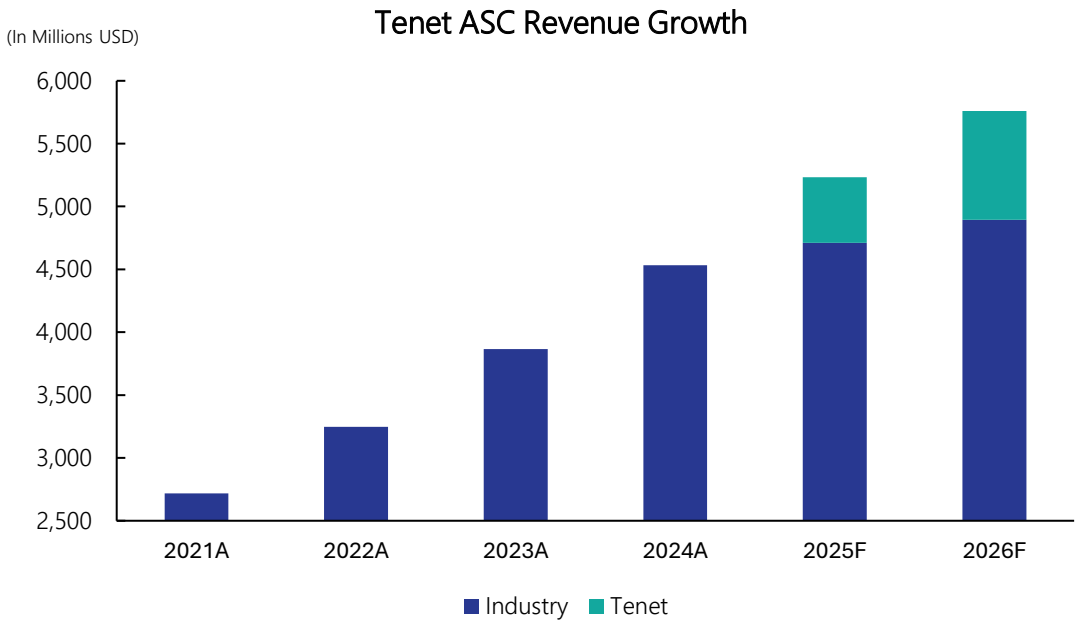
Tenet's widening moat against Surgery Partners

Tenet dominates Surgery Partners with their size and margins





Expected to outgrow industry through:

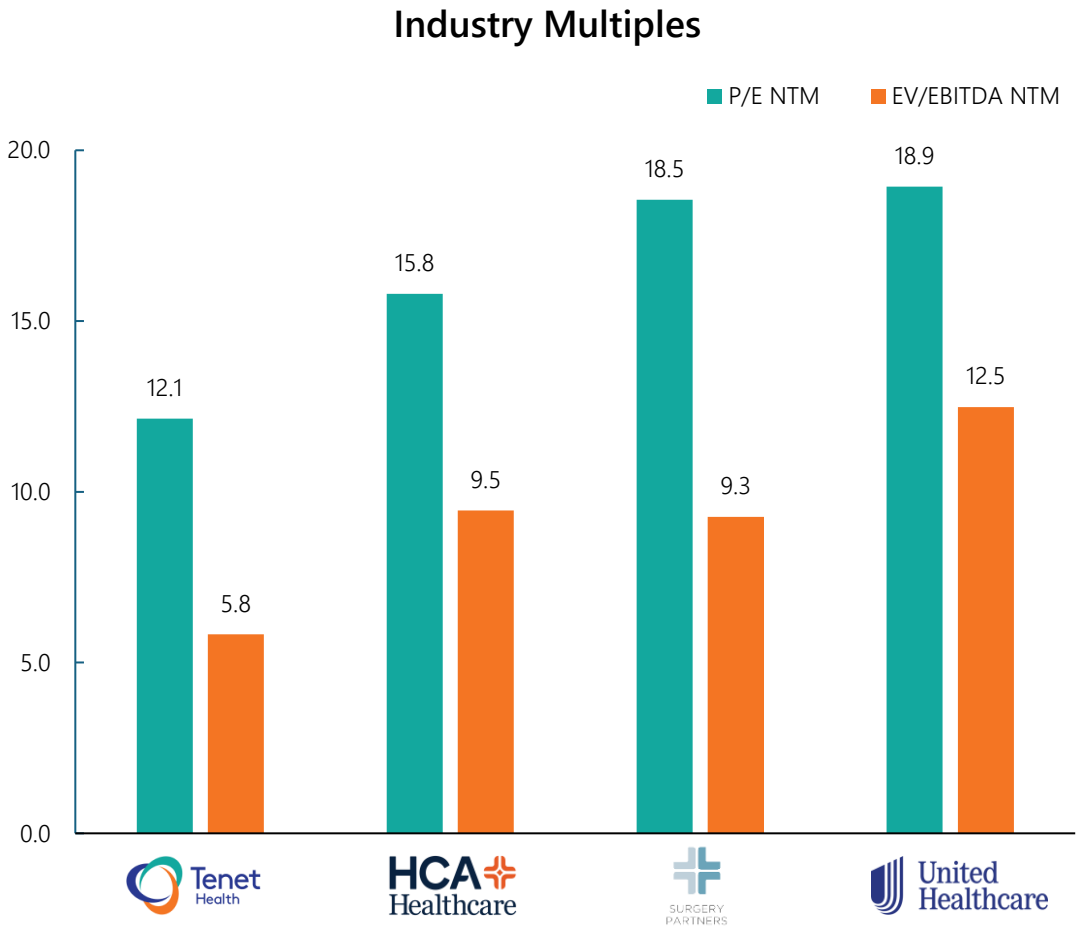


Aggressive expansion backed by stable operating cash flows

Capturing more patients through high-acuity cases and scale

Valuation Gap

However, there are reasons for the valuation gap



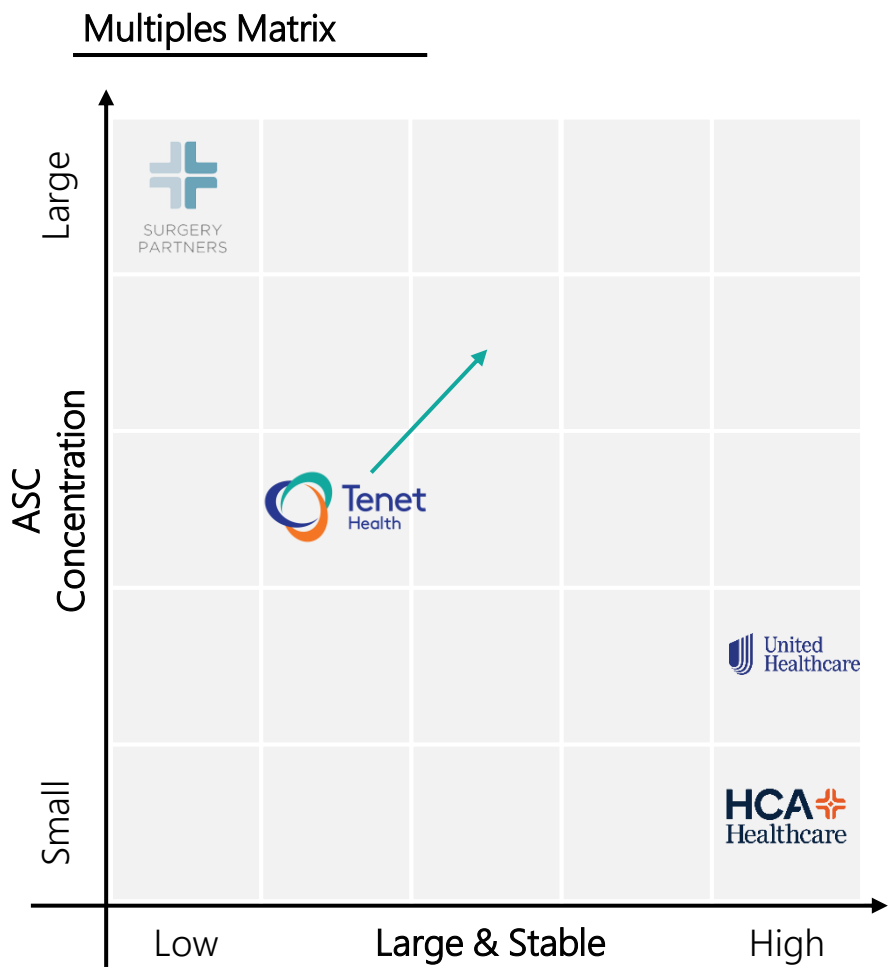
HCA and UNH trades at higher multiples because they are large companies that provide stable cash flows

"Pure play" ASC growth companies like Surgery Partners trade at higher multiples because of their low risk profile for policy and regulatory swings (e.g. Medicare cuts)

Tenet is in an unfavorable "in-between" position as it lacks the scale of large competitors to assure investors for stability, yet it is not fully specialized on ASCs like Surgery Partners

Valuation Gap

Tenet is on its way to improve



With Tenet's portfolio optimization efforts to expand on their ASC segment, their higher concentration in ASCs deserve a higher multiple closer to Surgery Partners

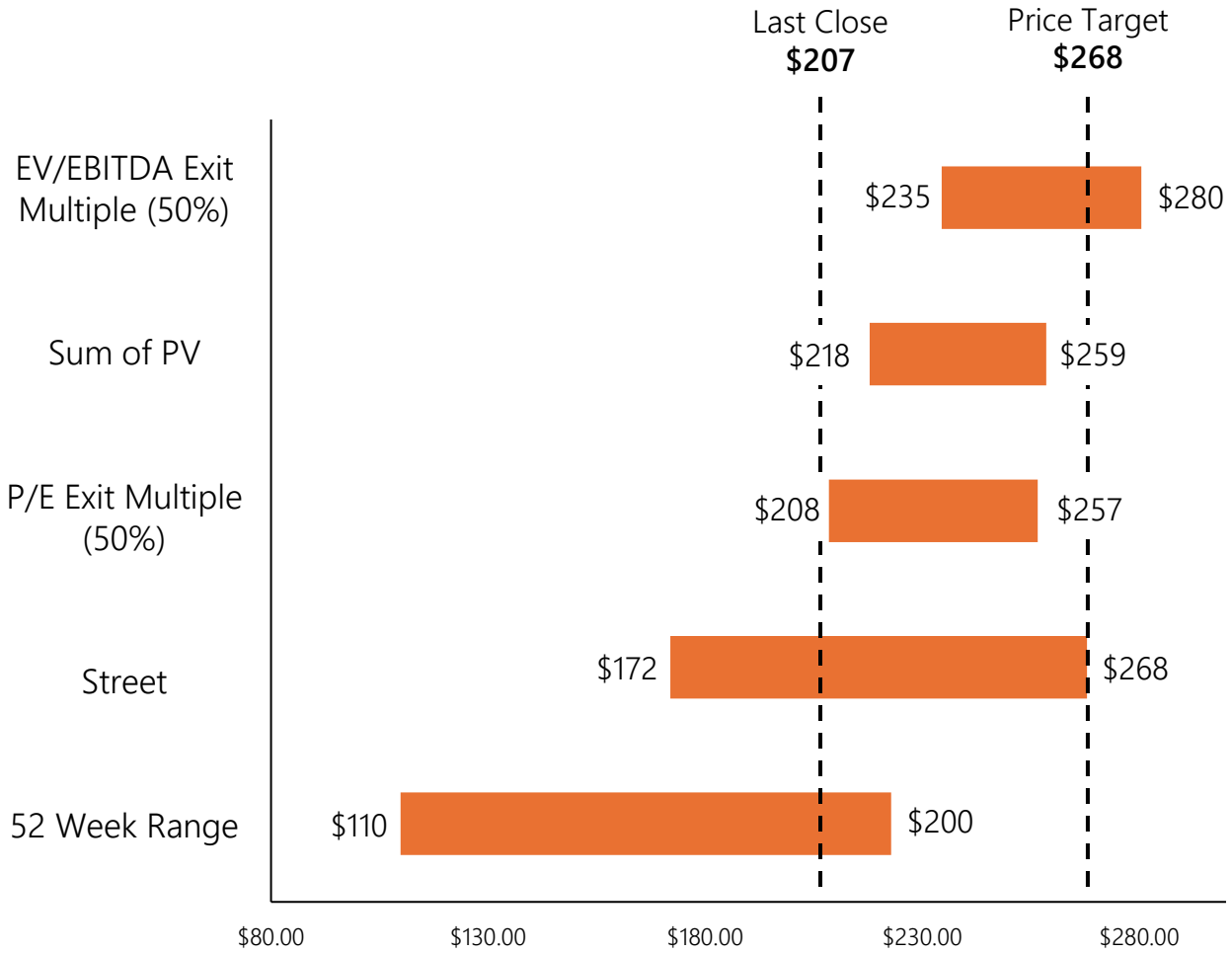
With a higher reliance on the ASC segment, Tenet will provide higher and stable cash flows, deserving a higher multiple closer to UNH and HCA

Their ongoing efforts to deleverage the company along with their credit rating on its way to an upgrade shows their path to stability

Their rate of share repurchases shows a sign of balance sheet stability and confidence to invest in its own business

We used a DCF with exit multiples

We valued Tenet using a blended approach of exit multiples in 2026



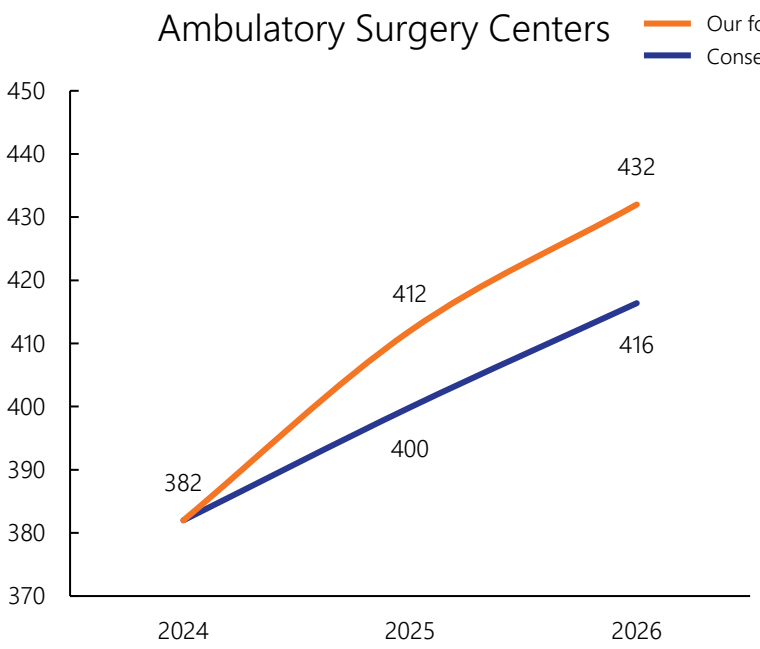
Key Assumptions:

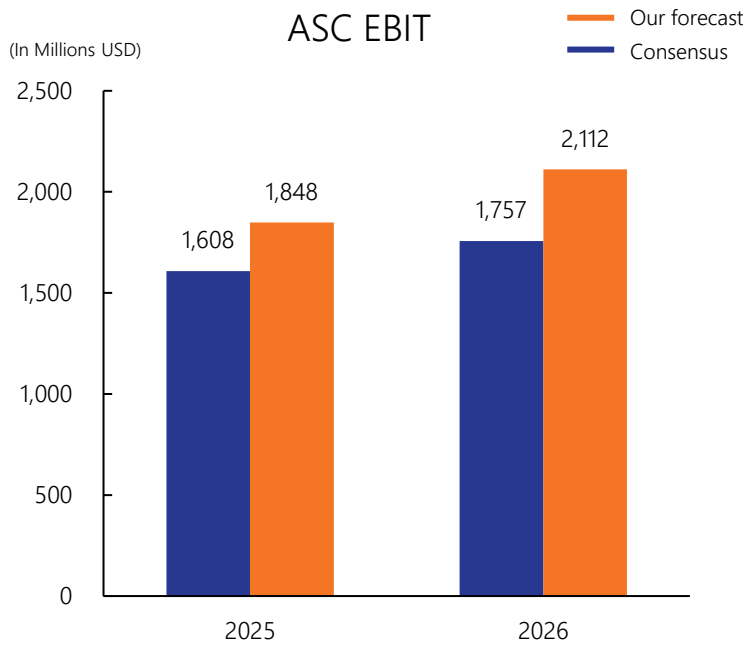
ASC Revenue CAGR (25-29)	10.87%
Net EBIT Margins (25-29)	17.9% ➡19.9%
Terminal Growth Rate	2.0%
WACC	12.0%
Average NTM P/E	16.0x
Average NTM EV/EBITDA	10.4x

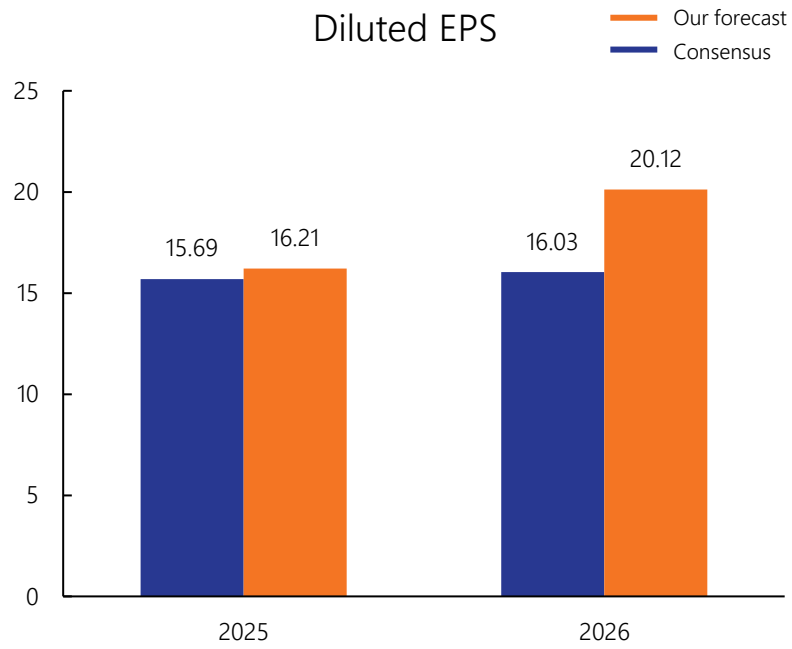
United Healthcare, HCA Healthcare, Surgery Partners

How we differ from the street

We are more bullish on Tenet's expansion capabilities because of:







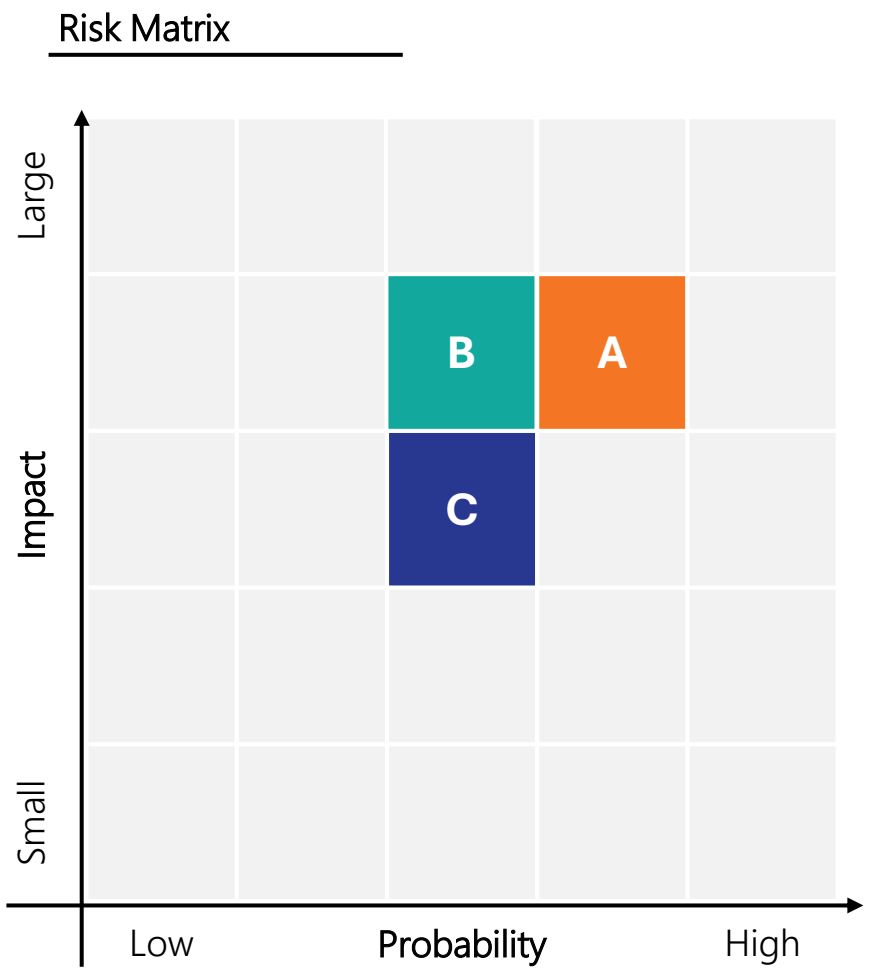
Management's outlook for rapid expansion in ASCs

Tenet's ability to generate stable cash flow being overlooked

Historical track record of successful rapid expansion

Competitive landscape is overlooked due to Tenet's scale

Primary risks are industry-wide



A — **Payer/Reimbursement Pressure:** Medicare/Medicaid rate cuts or payer pushbacks can put pressure on their hospital segment, reducing FCF for further expansion

B — **Labor and Staffing Costs:** Nursing shortages and wage inflation remain industry-wide, which could put pressure on their margins

C — **Execution on ASC Expansion:** Headwinds in their acquisition and management's failure to realize synergies from the acquisition would put pressure on their growth

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Appendix

Hospital Operations Forecast

Hospital Operations Forecast

	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E	
Hospital Operations Revenue	**14,790**	**15,500**	**14,610**	**16,683**	**16,131**	**15,970**	**16,449**	**16,942**	**17,451**	**17,974**	
% Growth		4.8%	-5.7%	14.2%	-3.3%	-1.0%	3.0%	3.0%	3.0%	3.0%	
Hospitals	65	60	61	61	49	49	49	49	49	49	
Base						49	49	49	49	49	
Street						49	49	49	49	49	
Revenue per facility	227.5	258.3	239.5	273.5	329.2	325.9	335.7	345.8	356.1	366.8	
Base						-1.0%	3.0%	3.0%	3.0%	3.0%	IBISWorld Hospital Industry Revenue Forecast
Street						-1.3%	2.9%	4.5%	1.4%	4.2%	
Hospital Operating Expenses		**15,158**	**14,984**	**15,573**	**11,928**	**14,176**	**14,613**	**15,085**	**15,591**	**16,079**	
% of Revenue		97.8%	102.6%	93.3%	73.9%	88.8%	88.8%	89.0%	89.3%	89.5%	
Salaries, wages and benefits		8,188	8,022	8,182	7,664	7,442	7,613	7,788	7,967	8,150	
Supplies		2,644	2,402	2,545	2,460	2,316	2,402	2,491	2,583	2,678	
Other operating expenses		3,817	3,560	3,984	3,842	3,743	3,906	4,084	4,272	4,443	Median Consensus Estimate from Bloomberg
D&A		760	729	750	684	676	693	722	769	807	Median Consensus Estimate from Bloomberg
Impairment and restructuring charges, and acquisition-related costs		58	205	78	51						
Litigation and investigation costs / benefit		102	67	34	30						
Gains on sales, consolidation and deconsolidation of facilities		(411)	(1)		(2,803)						
Hospital Operations EBIT		**342**	**(374)**	**1,110**	**4,203**	**1,794**	**1,836**	**1,858**	**1,859**	**1,896**	
% of Revenue		2.2%	-2.6%	6.7%	26.1%	11.2%	11.2%	11.0%	10.7%	10.5%	

Appendix

Ambulatory Operations Forecast

Ambulatory Operations Forecast

	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E	
Ambulatory Operations Revenue	**2,072**	**2,718**	**3,248**	**3,865**	**4,534**	**5,232**	**5,761**	**6,329**	**6,939**	**7,595**	
% Growth		31.2%	19.5%	19.0%	17.3%	15.4%	10.1%	9.9%	9.6%	9.4%	
Surgical Facilities	290	257	308	330	382	412.0	432.0	452.0	472.0	492.0	
Base						412	432	452	472	492	Own assumption
Street						400	416	432	443	447	
Revenue per facility	7.1	10.6	10.5	11.7	11.9	12.7	13.3	14.0	14.7	15.4	
Base						7.0%	5.0%	5.0%	5.0%	5.0%	IBISWorld ASC Revenue Forecast
Street						6.7%	3.9%	4.2%	4.1%	6.3%	
Ambulatory Operating Expenses		**1,865**	**2,267**	**2,709**	**3,051**	**3,385**	**3,649**	**3,935**	**4,257**	**4,575**	
% of Revenue		68.6%	69.8%	70.1%	67.3%	64.7%	63.3%	62.2%	61.4%	60.2%	
Salaries, wages and benefits		690	822	964	1,137	1,254	1,344	1,436	1,533	1,633	
Supplies		684	871	1,045	1,187	1,256	1,371	1,494	1,624	1,762	
Other operating expenses		389	438	531	650	730	783	839	904	967	Median Consensus Estimate from Bloomberg
D&A		95	112	120	134	145	151	166	197	214	Median Consensus Estimate from Bloomberg
Impairment and restructuring charges, and acquisition-related costs		27	21	59	51						
Litigation and investigation costs / benefit		14	3	13	5						
Gains on sales, consolidation and deconsolidation of facilities		(34)		(23)	(113)						
Ambulatory Operations EBIT		**853**	**981**	**1,156**	**1,483**	**1,848**	**2,112**	**2,394**	**2,682**	**3,020**	
% of Revenue		31.4%	30.2%	29.9%	32.7%	35.3%	36.7%	37.8%	38.6%	39.8%	

Appendix

DCF Model

Discounted Cash Flow

Net EBIT	**1,989**	**2,871**	**2,333**	**2,510**	**5,956**	**3,801**	**4,107**	**4,412**	**4,701**	**5,076**
Margin	11.3%	14.7%	12.2%	12.2%	28.8%	17.9%	18.5%	19.0%	19.3%	19.9%
(-) Tax Expense	(97)	411	344	306	1,184	646	730	798	875	959
NOPAT	**2,086**	**2,460**	**1,989**	**2,204**	**4,772**	**3,156**	**3,378**	**3,614**	**3,826**	**4,117**
(+) D&A	857	855	841	870	818	820	844	888	966	1,021
Net Working Capital	(146)	(398)	647	1,179	353	376	402	429	458	491
(+) Change in NWC						(23)	(26)	(27)	(29)	(33)
(-) CapEx	(540)	(658)	(762)	(751)	(931)	(800)	(1,001)	(1,048)	(1,099)	(1,152)
Unlevered Free Cash Flow						3,153	3,195	3,426	3,665	3,953

	2025E	2026E	2027E	2028E	2029E	TV	TGR	2.0%
	3,153	3,195	3,426	3,665	3,953	40,320	WACC	12.0%
	2,815	2,547	2,439	2,329	2,243	22,878		

Sum of PV	
Sum of PV FCF	31341.94
Less: net debt	9,134
Equity Value	22,208
# of Shares	85.881
Implied Share Pri	$258.59
Upside/Downside	24.9%

EV/EBITDA	
2026 EBITDA	4,951
Discounted	3947.028
EV/EBITDA Multipl	10.4
Enterprise Value	41049.1
(-) Cash	5,240
Equity Value	24,088
# of Shares	85.881
Price Target	280.5
Upside/Downside	35.5%

EPS	
2026 EPS	20.12
Discounted	16.04
P/E Multiple	16.0
Price Target	256.65
Upside/Downside	24.0%

Appendix

DCF Costs Assumptions

Assumptions

Hospital Operating Expenses

Salaries, wages and benefits % growth						
Base	-2.9%	2.3%	2.3%	2.3%	2.3%	IBISWorld Hospital Industry Wage Forecast
Street	-2.9%	4.3%	4.8%	7.2%	5.3%	
Supplies % of sales						
Base	14.5%	14.6%	14.7%	14.8%	14.9%	Own Assumption (economies of scale)
Street	15.1%	15.2%	15.4%	15.7%	15.9%	

Ambulatory Operating Expenses

Salaries, wages and benefits % growth						
Base	10.3%	7.2%	6.9%	6.7%	6.5%	IBISWorld ASC Wage Forecast x ASC expansion rate - synergies (4%)
Street	11.2%	8.5%	7.8%	6.1%	7.3%	
Supplies % of sales						
Base	24.0%	23.8%	23.6%	23.4%	23.2%	Own Assumption (Synergies with M&A + economies of scale)
Street	25.2%	24.6%	24.1%	23.7%	23.3%	

Appendix

Income Statement

Income Statement

	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Revenue	**17,640**	**19,485**	**19,174**	**20,548**	**20,665**	**21,202**	**22,209**	**23,271**	**24,390**	**25,569**
Grant income	882	191	194	16	10					
Equity in earnings of unconsolidated affiliates	169	218	216	228	260	260	260	260	260	260
COGS	(16,702)	(17,023)	(17,251)	(18,282)	(14,979)	(16,740)	(17,418)	(18,131)	(18,882)	(19,632)
Salaries, wages and benefits	(8,418)	(8,878)	(8,844)	(9,146)	(8,801)	(8,696)	(8,956)	(9,224)	(9,500)	(9,783)
Supplies	(2,982)	(3,328)	(3,273)	(3,590)	(3,647)	(3,571)	(3,773)	(3,984)	(4,206)	(4,440)
Other operating expenses	(4,125)	(4,206)	(3,998)	(4,515)	(4,492)	(4,473)	(4,689)	(4,923)	(5,176)	(5,409)
D&A	(857)	(855)	(841)	(870)	(818)	(820)	(844)	(888)	(966)	(1,021)
Impairment and restructuring charges, and acquisition-related costs	(290)	(85)	(226)	(137)	(102)	(100)	(100)	(100)	(100)	(100)
Litigation and investigation costs / benefit	(44)	(116)	(70)	(47)	(35)	0	0	0	0	0
Gains on sales, consolidation and deconsolidation of facilities	14	445	1	23	2,916	0	0	0	0	0
EBIT	**1,989**	**2,871**	**2,333**	**2,510**	**5,956**	**3,801**	**4,107**	**4,412**	**4,701**	**5,076**
Interest expense	(1,003)	(923)	(890)	(901)	(826)	(813)	(713)	(696)	(658)	(634)
Other non-operating income / expense, net	1	14	11	19	126	86	81	83	121	125
Loss / gain from early extinguishment of debt	(316)	(74)	(109)	(11)	(8)	0	0	0	0	0
Pretax Income	**671**	**1,888**	**1,345**	**1,617**	**5,248**	**3,074**	**3,475**	**3,798**	**4,164**	**4,566**
Income tax expense / benefit	97	(411)	(344)	(306)	(1,184)	(646)	(730)	(798)	(875)	(959)
Net Income	**768**	**1,476**	**1,001**	**1,311**	**4,064**	**2,428**	**2,746**	**3,001**	**3,290**	**3,607**
Net income avaialble to noncontrolling interest	(369)	(562)	(590)	(700)	(864)	(958)	(1,018)	(1,082)	(1,160)	(1,234)
Net Income available to THC common shareholders	**399**	**914**	**411**	**611**	**3,200**	**1,470**	**1,728**	**1,919**	**2,130**	**2,374**
Basic EPS	3.80	8.55	3.84	6.01	33.02	16.39	20.35	23.95	27.99	32.92
Diluted EPS	3.75	8.42	3.79	5.71	32.70	16.21	20.12	23.66	27.63	32.48
Weighted avg shares and dilutive securities outstanding										
Basic	105.0	106.8	106.9	101.6	96.9	89.7	84.9	80.1	76.1	72.1
Diluted	106.3	108.6	110.5	104.8	97.9	90.7	85.9	81.1	77.1	73.1

Appendix

Balance Sheet (Assets + Liabilities)

Balance Sheet

	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Assets										
Cash & equivalents	2,446	2,364	858	1,228	3,019	3,738	4,046	3,988	4,216	4,834
Accounts receivable	2,690	2,770	2,943	2,914	2,536	2,608	2,732	2,862	3,000	3,145
Inventories	368	384	405	411	346	387	402	419	436	453
Assets held for sale	140	-	0	775	21	21	21	21	21	21
Othe current assets	1,503	1,557	1,775	1,839	1,760	1,806	1,892	1,982	2,077	2,178
Investments	2,534	3,254	3,147	3,157	3,037	3,117	3,265	3,421	3,585	3,759
Deferred income taxes	325	65	19	77	80	80	80	80	80	80
PP&E	6,692	6,427	6,462	6,236	6,049	5,717	5,824	5,984	6,167	6,398
Goodwill	8,808	9,261	10,123	10,307	10,691	10,759	10,827	10,895	10,964	11,032
Other intangible assets	1,600	1,497	1,424	1,368	1,397	1,442	1,510	1,582	1,659	1,739
Total assets	**27,106**	**27,579**	**27,156**	**28,312**	**28,936**	**29,674**	**30,599**	**31,235**	**32,204**	**33,637**
Liabilities										
Current portion of LT debt	145	135	145	120	92	94	99	104	109	114
Accounts payable	1,207	1,300	1,504	1,408	1,294	1,446	1,505	1,566	1,631	1,696
Accrued compensation and benefits	942	896	778	930	899	922	966	1,012	1,061	1,112
Professional and general liability reserves	243	254	255	254	238	244	256	268	281	294
Accrued interest payable	248	203	213	200	149	153	160	168	176	184
Liabilities held for sale	70		0	69	13	13	13	13	13	13
Income tax payable	659	959		23	18	18	18	18	18	18
Other current liabilities	1,333	1,362		1,756	1,607	1,649	1,727	1,810	1,897	1,988
Long-term debt, net of current portion	15,574	15,511	14,934	14,882	13,081	13,081	13,081	12,581	11,981	11,581
Professional and general liability reserves	735	791	790	792	900	923	967	1,013	1,062	1,114
Defined benefit plan obligations	497	421	331	335	298	298	298	298	298	298
Deferred income taxes	29	36	217	326	227	227	227	227	227	227
Other long-term liabilities, excluding deferred tax	2,535	1,454	1,800	1,709	1,573	1,614	1,691	1,771	1,857	1,946
Total liabilities	**24,217**	**23,322**	**22,548**	**22,804**	**20,389**	**20,683**	**21,008**	**20,850**	**20,610**	**20,586**
Redeemable noncontrolling interest in subsidiaries	**1,952**	**2,203**	**2,149**	**2,391**	**2,727**	**2,727**	**2,727**	**2,727**	**2,727**	**2,727**

Appendix

Balance Sheet (Equity)

Equity

Common stock	7	8	8	8	8	8	8	8	8	8
Additional paid-in capital	4,844	4,877	4,778	4,834	4,873	4,942	5,014	5,089	5,168	5,251
Accumulated other comprehensive loss	(281)	(233)	(181)	(181)	(180)	(180)	(180)	(180)	(180)	(180)
Retained earnings / accumulated deficit	(2,128)	(1,214)	(803)	(192)	3,008	4,478	6,206	8,125	10,255	12,629
Common stock in treasury, at cost	(2,414)	(2,410)	(2,660)	(2,861)	(3,538)	(4,633)	(5,833)	(7,033)	(8,033)	(9,033)
Noncontrolling interests	909	1,026	1,317	1,509	1,649	1,649	1,649	1,649	1,649	1,649
Total equity	**937**	**2,054**	**2,459**	**3,117**	**5,820**	**6,264**	**6,864**	**7,658**	**8,867**	**10,324**
Total liabilities and equity	**27,106**	**27,579**	**27,156**	**28,312**	**28,936**	**29,674**	**30,599**	**31,235**	**32,204**	**33,637**
Balance Check	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**
Balances?	**YES**	**YES**	**YES**	**YES**	**YES**	**YES**	**YES**	**YES**	**YES**	**YES**

Appendix

Cash Flow Statement (Operating)

Cash Flow Statement

Cash from operating activities	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025E	FY 2026E	FY 2027E	FY 2028E	FY 2029E
Net Income (Loss)	768	1,476	1,001	1,311	4,064	2,428	2,746	3,001	3,290	3,607
D&A	857	855	841	870	818	820	844	888	966	1,021
Deferred income tax expense	(128)	250	209	52	(103)	0	0	0	0	0
Stock-based compensation expense (SBC)	44	56	56	66	67	69	72	75	79	83
Impairment and restructuring charges, and acquisition-related costs	290	85	226	137	102	100	100	100	100	100
Litigation and investigation costs	44	116	70	47	35	0	0	0	0	0
Gains on sales, consolidation and deconsolidation of facilities	(14)	(445)	(1)	(23)	(2,916)	0	0	0	0	0
Loss / gain from early extinguishment of debt	316	74	109	11	8	0	0	0	0	0
Equity in earnings of unconsolidated affiliates, net of distributions recei	(37)	(10)	2	(13)	(29)	0	0	0	0	0
Amortization of debt discount and debt issuance costs	38	33	33	32	26	0	0	0	0	0
Net gains from sales of investments	(25)	(23)	(117)	(29)	(4)	0	0	0	0	0
Other items, net	(29)	(33)	(106)	(33)	(8)	0	0	0	0	0
Changes in cash from operating assets and liabilities										
accounts recievable	195	(197)	(140)	(29)	245	(72)	(124)	(131)	(138)	(145)
inventories and other current assets	(145)	(52)	(64)	(139)	(86)	(86)	(101)	(107)	(113)	(118)
income taxes	19	68	(26)	10	16	0	0	0	0	0
account payable, accrued expenses and other current liabilities	1,302	(584)	(898)	215	(30)	227	200	210	222	230
Other long-term liabilities	221	28	(15)	14	(9)	64	121	127	134	141
payments for restructuring charges, acquisition-related costs, and litiga	(333)	(153)	(214)	(154)	(153)	(213)	(237)	(240)	(244)	(248)
Operating cash flow	**3,407**	**1,568**	**1,083**	**2,374**	**2,047**	**3,338**	**3,619**	**3,923**	**4,296**	**4,671**

Appendix

Cash Flow Statement (Investing + Financing)

Cash from investing activities

PPE	(540)	(658)	(762)	(751)	(931)	(800)	(1,001)	(1,048)	(1,099)	(1,152)
Purchase of Businesses	(1,177)	(1,220)	(234)	(224)	(571)	(250)	(250)	(250)	(250)	(250)
Proceeds from sales of facilities/other assets	77	1,248	210	71	4,981	562	300	250	200	150
proceeds from sales of marketable securities... assets excluding purcha	59	31	76	50	63	(80)	(148)	(156)	(164)	(173)
Proceeds from marketable securities	(44)	(108)	(92)	(104)	(94)	0	0	0	0	0
Other items, net	17	(7)	(6)	(11)	(19)	0	0	0	0	0
Investing cash flow	**(1,608)**	**(714)**	**(808)**	**(969)**	**3,429**	**(568)**	**(1,099)**	**(1,204)**	**(1,313)**	**(1,425)**

Cash flows from Financing Activities

repayments of other borrowings excluding proceeds from other borrowi	(3,293)	(3,221)	(2,851)	(1,542)	(2,243)	2	4	(2,995)	(3,095)	(1,395)
proceeds from other borrowings	3,818	2,872	2,023	1,370	23	0	0	2,500	2,500	1,000
repurchases of common stock	0	0	(250)	(200)	(672)	(1,095)	(1,200)	(1,200)	(1,000)	(1,000)
distributions paid to noncontrolling interest	(287)	(423)	(560)	(594)	(681)	(958)	(1,018)	(1,082)	(1,160)	(1,234)
other items, net excluding debt issuance and distributions	234	(106)	(19)	114	56	0	0	0	0	0
Contributions from noncontrolling interests	14	25	27	43	23	0	0	0	0	0
Purchases of noncontrolling interests	(39)	(27)	(100)	(167)	(200)	0	0	0	0	0
advances from managed care players	-	-	0	0	342	0	0	0	0	0
Repayments of advancees from managed care playerrs	-	-	0	0	(310)	0	0	0	0	0
Other items, net	33	(64)	(46)	71	33	0	0	0	0	0
Financing cash flow	**385**	**(936)**	**(1,781)**	**(1,035)**	**(3,685)**	**(2,051)**	**(2,213)**	**(2,777)**	**(2,755)**	**(2,628)**
Net change in cash	**2,184**	**(82)**	**(1,506)**	**370**	**1,791**	**719**	**308**	**(58)**	**228**	**618**

Appendix

Debt Waterfall

Refinanced Notes					
BOP Bal	0.0	0.0	0.0	2500.0	5000.0
New Issurance	0.0	0.0	2500.0	2500.0	1000.0
Redemption	0.0	0.0	0.0	0	0
Ending Balance	0.0	0.0	2500.0	5000.0	6000.0
2027 Note 6.250% Coupons	(94)	(94)	(47)		
2027 Note 5.125% Coupons	(77)	(77)	(38)		
2028 Note 4.625% Coupons	(28)	(28)	(28)	(14)	
2028 Note 6.125% Coupons	(153)	(153)	(153)	(77)	
2029 Note 4.250% Coupons	(60)	(60)	(60)	(60)	(30)
2030 Note 4.375% Coupons	(63)	(63)	(63)	(63)	(63)
2030 Note 6.125% Coupons	(123)	(123)	(123)	(123)	(123)
2031 Note 6.750% Coupons	(91)	(91)	(91)	(91)	(91)
2031 Note 6.875% Coupons	(25)	(25)	(25)	(25)	(25)
Refinanced Note Coupons	0	0	(69)	(206)	(303)
Total IE	(713)	(713)	(696)	(658)	(634)